RBI decided to adopt StressedVaR.9999 confidence level and a ten-day interval. This formula, in its opinion, was supposed to give it the best credit rating—a rating better than the best AAA-rated sovereigns like the US. While no central bank has ever been rated by the credit rating agencies in the world, RBI wanted to be internally assessed as having the best credit rating in the world, only for the purpose of retaining as much of the surplus as possible!

The formula yielded a value of about 24 per cent of assets (total assets of RBI comprising its foreign currency reserves, government securities and other assets) as required reserves/provisions for the supposed valuation loss in the assets. The RBI Board was further talked into deciding to hold additional provisions up to 4 per cent of the size of the Balance Sheet as cash reserves. In sum, 24 per cent of the assets for possible valuation losses as provisions and another 4 per cent to be held in cash, also termed as realized equity.

RBI adopted the toughest and most conservative formula that yielded an amount of provisions and reserves that would almost always be greater than the available reserves and surplus generated in a year. This provided the RBI requisite justification to hold all the profits/surplus for itself.

As it turned out, if RBI was allowed to go by this formula of determining provisions and reserves, it was not required to transfer any surplus to the government during the financial years 2016–17 and 2017–18. Quite naturally, the government took exception to this and raised questions about the appropriateness of the formula. These questions led to the constitution of the Bimal Jalan Committee.

The Committee could not find any justification for the need to have the highest AAA credit rating for RBI and also for holding the high degree of valuation reserves. Accordingly, in its recommendations, it accepted dilution in the rigour of the market/valuation risk formula. The modified formula for market risk as given in its report reduces requirement of